

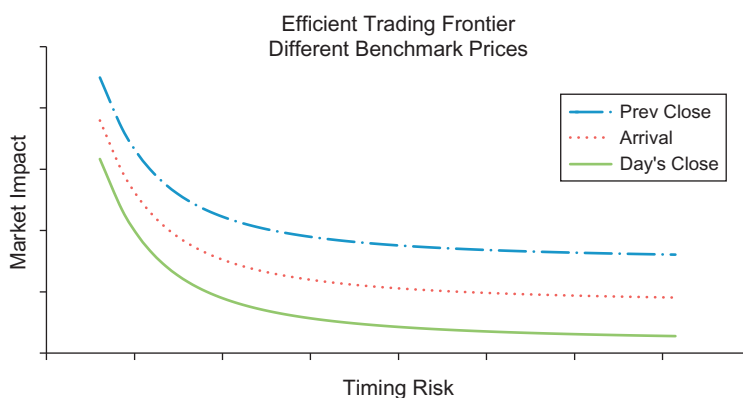
Comparison of Benchmark Prices

A comparison of the efficient trading frontier for the different benchmark prices is shown in Figure 8.1. The arrival price frontier is the middle curve in the graph. The arrival price cost consists of both temporary and permanent impact measured from the price when trading begins. In this example, the previous close frontier has the highest cost for the corresponding level of timing risk due to adverse overnight price movement (sunk cost). In reality, the previous close frontier could be higher, lower, or the same as the arrival price frontier. The future price benchmark, such as the day's closing price, is the lowest frontier. It consists only of the temporary impact because the future price will be comprised of the permanent impact cost.

If an investor is ever given the choice of which benchmark to use to judge performance it behooves the investors to select a future price benchmark since this cost will likely be less than a historical or arrival price benchmark. The future price will always include the permanent impact of the order and the temporary impact that has not yet fully dissipated (see Chapter 4, Market Impact Models).

2) Specify Trading Goal

The next step in the process is to select the trading goal so that it is consistent with the underlying investment objective. To assist in the process we describe five potential best execution strategies for investors. While these may not comprise all possibilities they do address needs for many investment professionals. Techniques for specifying the macro-level trading goal have been previously studied by Kissell, Glantz, and Malamut (2004). We expand on those findings.



■ Figure 8.1 Efficient Frontier Graphs.